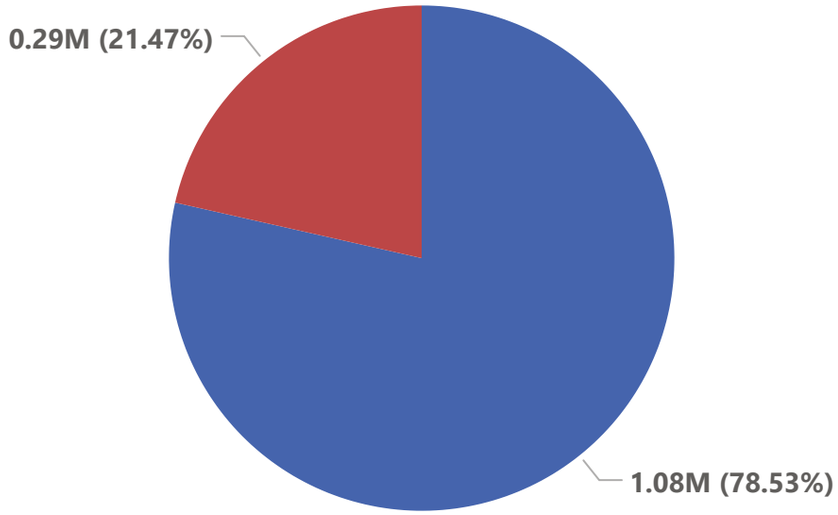
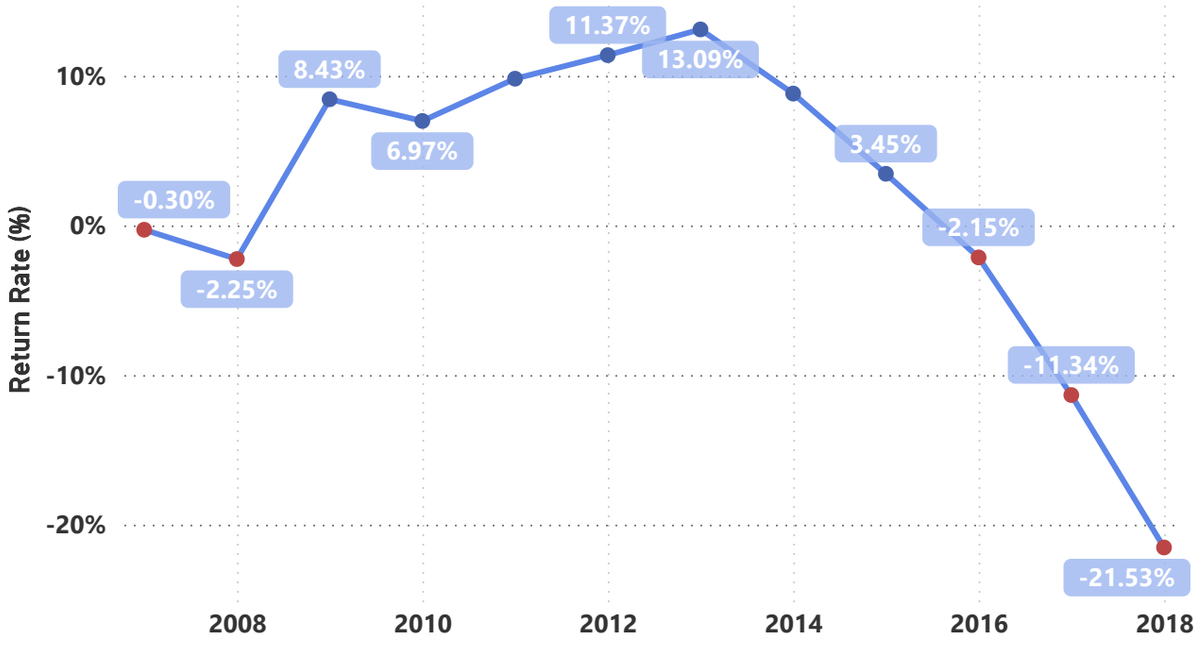
Lending Club Portfolio: Where Risk Erodes Returns

1.37M	21.47%	$ 19.84bn	$257.69M
Total Loans	Portfolio Default Rate	Total Funded	Estimated Net Profit

1 in 5 loans never paid back
$294K defaults bleed the portfolio dry



The portfolio turned underwater by 2016
returns peaked in 2013 and collapsed



KEY TAKEAWAYS

- 294K loans defaulted out of 1.37M — at 21.47%, the portfolio is one credit crisis away from wiping out all net profit
- Return rate peaked at ~10% in 2013 then went negative by 2016 — scaling without credit discipline destroyed profitability
- $258M estimated net profit masks a deteriorating trend — if 2016–2018 returns continue, the portfolio faces structural losses

Risk by Segment: Not All Borrowers Are Created Equal

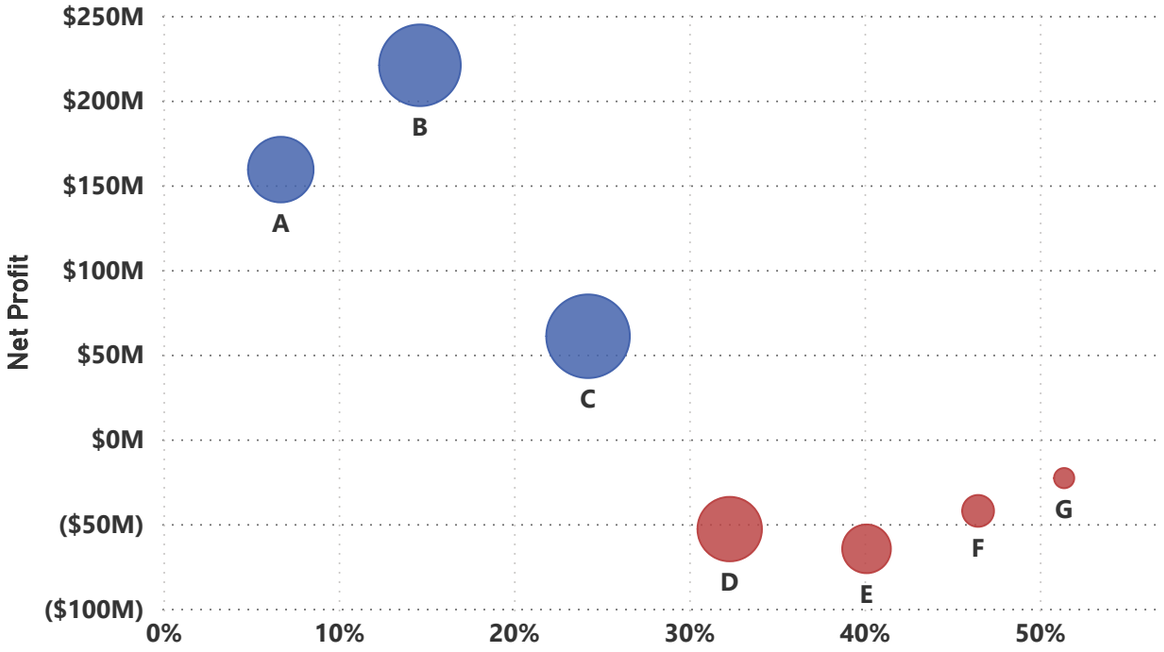
21.47%
Portfolio Default Rate

34.86%
Worst Segment Default Rate

8.66%
Best Segment Default Rate

26.20pp
Segment Risk Gap

High rates don't save high-risk grades
D–G charge more but still lose money



Worst combo hits 34.86%
1.6x the portfolio average

DTI Band	Fair (600-699)	Good (700-749)	Excellent (750+)
Low (<10)	19.27%	14.01%	9.70%
Medium (10-20)	22.75%	14.84%	8.66%
High (20-30)	28.44%	19.22%	11.61%
Very High (30+)	34.86%	25.69%	17.34%

Grade:

All

Note: Filter by grade to explore specific profiles — Grade G peaks at 75%

KEY TAKEAWAYS

- Grades D–G charge 30–50% interest rates but still lose money — high rates cannot compensate for a 40–51% default rate
- A 26pp risk gap exists between best and worst profiles — credit quality is the strongest lever to reduce defaults
- No single variable predicts risk alone — filtering Grade G + Very High DTI + Fair FICO reveals a 75% default rate, 3.5x the portfolio average

Segment Intersections: Where Grade Meets Purpose, Losses Multiply

21.47%
Portfolio Default Rate

52.67%
Worst Combo Default Rate

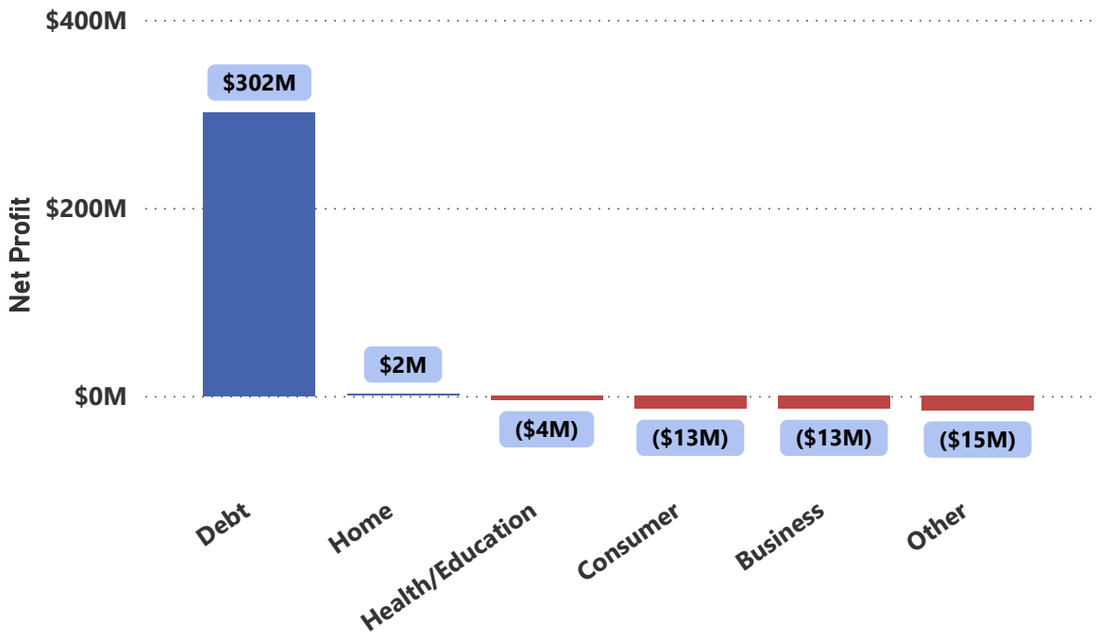
$301.89M
Debt Net Profit

($15.12M)
Worst Purpose Net Profit

Worst combo hits 52.67% (Health/Education + Grade G)
2.5x the portfolio average

purpose_group	A	B	C	D	E	F	G
Business	14.11%	22.91%	28.28%	34.50%	40.41%	44.75%	51.57%
Consumer	6.57%	14.77%	22.24%	29.23%	36.59%	42.36%	49.54%
Debt	6.61%	14.52%	24.49%	33.08%	41.28%	48.20%	52.67%
Health/Education	9.09%	16.73%	24.66%	31.32%	34.88%	38.64%	48.21%
Home	6.20%	14.54%	23.29%	29.84%	35.76%	41.11%	43.91%
Other	8.01%	15.12%	22.66%	28.63%	35.99%	41.50%	50.44%

Debt alone sustains the portfolio
most other purposes bleed money



KEY TAKEAWAYS

- **Health/Education + Grade G hits 52.67% — 2.5x average — automatic rejection should be triggered**
- **Debt consolidation is the only profitable purpose at $0.30bn — every other purpose destroys value, led by Other at -$0.02bn**
- **Grade G is dark across all purposes — grade dominates risk regardless of what borrowers spend on**

A Decade of Drift: Default Rates Nearly Doubled as the Portfolio Scaled

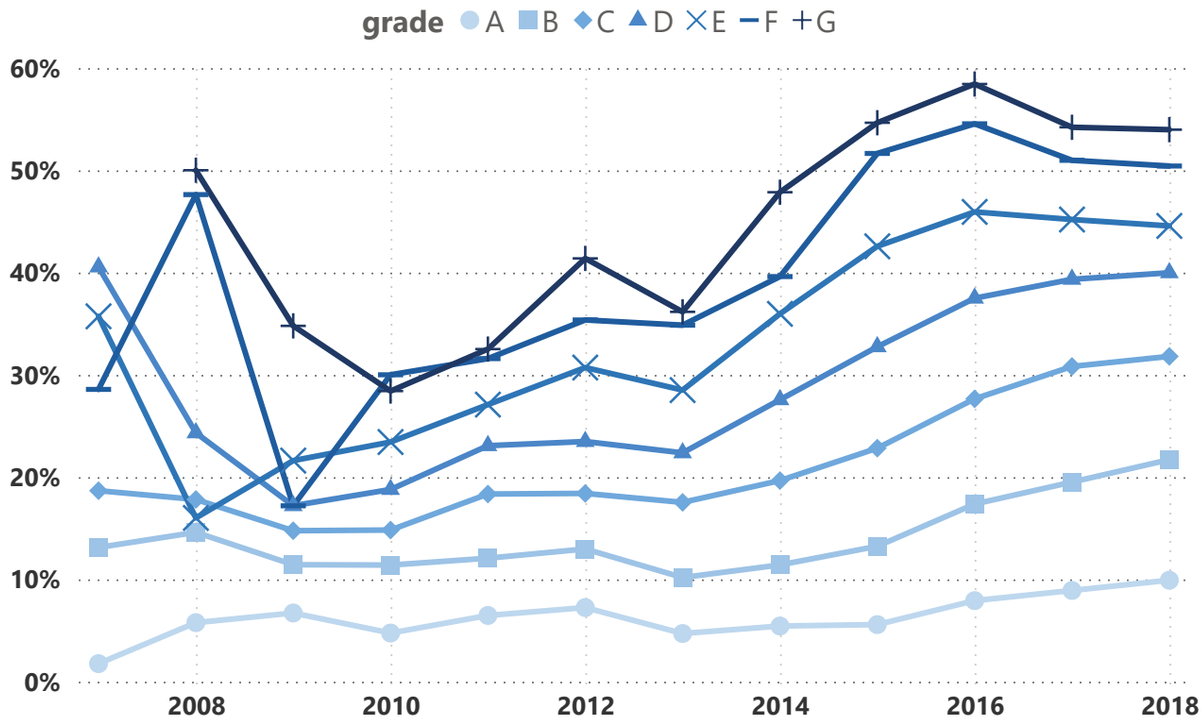
+9.24pp
Rate Growth (2007-2018)

1,503x
Volume Growth (2007-2015)

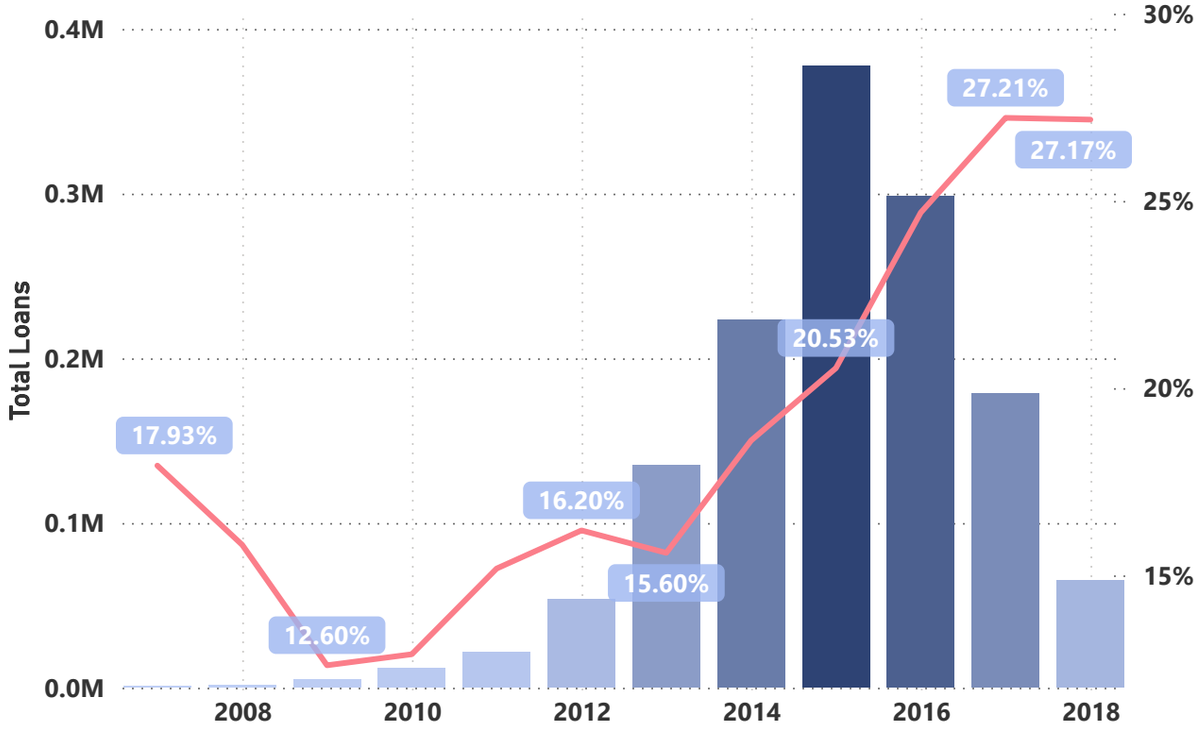
27.21%
Worst Default Rate (2017)

12.60%
Best Default Rate (2009)

Default Rate for Lower grades explode in crisis grade F almost doubled from 29% to 50%



Volume exploded 1,503x then collapsed while default rate silently climbed



KEY TAKEAWAYS

- Volume grew 1,503x in 8 years but peaked in 2015 and collapsed — rapid scaling came at the cost of credit discipline
- Lower grades absorbed the most risk over time — Grade F default rate nearly doubled while Grade A stayed flat below 10% throughout
- Default rate climbed 9.24pp from 2007 to 2018 despite the portfolio shrinking — risk didn't follow volume down